Cutting with the lights on

How a mid-sized Australian metals miner found $15–20m a year in its overhead structure

A target and a deadline with no instructions

Halfway through a soft price run, the General Manager of a mid-sized metals operation received an email. A solid operation, full of good people, and on the screen, three lines: a percentage reduction target and a deadline, with no instructions. Nobody had done anything wrong. The office had simply grown through the better years, built for the mine they'd planned to become, not the mine they were.

The owners needed unit cost down hard and fast, and the standard play was on the table: hand every department a number and let them sort it out. The GM had run that play before and knew exactly where it ends. The org chart gets cut where the salaries are visible, not where the work is. The graduate goes, and the site analyst goes, but the work doesn't go anywhere; it just lands on more expensive people. 12 months later, the capability you shed walks back through the gate as a contractor on twice the day rate (sometimes in the exact same boots).

We offered something else: "Give us six weeks and we'll tell you which roles this operation genuinely needs, which it doesn't, and why. One role at a time." No percentages. No list drawn up in a dark room.

What six weeks of honest scoring turned up

We scored three hundred roles, one at a time, and the same patterns surfaced. Halfway through, the leadership team was finishing our sentences. You'll recognise at least two:

- **Duplication nobody had mapped.** The same job done on every crew, and again across site, group office and a sister operation.
- **Roles that only exist because something else is broken.** Workarounds for systems nobody fixed, now fixtures nobody questions.
- **Layers with no decision rights.** Supervisors of two or three, there through tenure and habit.
- **Crews sized beyond the fleet.** Headcount the fleet and roster couldn't absorb; obvious next to operating hours.

A budget review wouldn't have found any of it. A budget review asks what a thing costs, not what it's there for.

$15–20m

recurring annual saving identified, rising to $20–26m in the sustained downcycle case

300+ roles

every support chair in scope, scored one at a time

0

top-down cuts. Every call scored and argued.

"Score the role, not the person. The moment it becomes about individuals, honesty leaves the room."

RULE ONE OF THE REVIEW

Why you're holding this

If we met at The Commercial Edge, this is the case study I promised.

The whole method is in here, on purpose: run it without me.

The methodology — seven questions

There's no software and no black box in this. Seven questions, asked of every support role, each scored zero, one, or two against the anchors shown beneath it. This systemised approach ensures a standard and consistent ranking across the board:

Seven questions to ask of every role, Then score each 0, 1 or 2

1 **What decisions does this role make?**
0 = reports or coordination only · 1 = recommendations or admin · 2 = owns material decisions affecting cost, safety or production

2 **If it disappeared for a month, what would break?**
0 = nothing meaningful · 1 = things slow or queue · 2 = real operational, safety or compliance impact within weeks

3 **Who else is doing a version of this role?**
0 = clear duplication (site, Group or contractor) · 1 = some overlap, scope unclear · 2 = unique scope, no duplication

4 **Does it only exist because something else is broken?**
0 = a workaround for a broken system · 1 = part firefighting, part value-add · 2 = genuine value-add work

5 **Does it carry a defensible span of control?**
0 = fewer than 3 reports, or a layer with no purpose · 1 = 3–4 reports, could flatten · 2 = 5+ reports, or an IC with clear deliverables

6 **Would we rather have this role or another operator at the face?**
0 = hard to justify against a frontline role · 1 = borderline · 2 = clearly more valuable than an extra frontline role

7 **Can proven technology do it instead?**
0 = yes, it's manual processing · 1 = partially, tech absorbs 30–50% · 2 = no, needs judgment, relationships or presence

What the totals mean

12–14	8–11	4–7	0–3
Retain	Re-scope	Consolidate	Reduce

The total makes the call, and that's the point. You can't argue with a score. Arguing with an opinion just gets you a louder opinion.

Two tips we found when running this exercise:

1. The opening pass of any scoring session is always generous, everyone marks their own department kindly the first time through. So we run calibration until scores mean the same thing in every department.
2. You can run a second layer of questions against the roles that were kept, testing workload, coverage, span of control and specialisation, and benchmarking against comparable sites. This second pass gives a sizing answer, and not just a keep-or-cut one.

What it bought

$15–20m	recurring, every year, at current prices — $20–26m if the price stays soft
97 roles	identified from 300+ scored — 32%, each one carrying its reasons in writing
6 weeks	of leadership scoring and calibration; execution inside a quarter
0	production roles touched. The tonnes make the money; the review's job was to protect that, not raid it

That last line is the one I'd point to first. A leaner office and an untouched production team. That was the whole brief.

How to make it stick

1. **Don't let it become a referendum on individuals.** The role gets scored, not its occupant. That takes personality and biases out of the conversation.
2. **Fix the structure before counting heads.** Where accountabilities blur between roles, redesign first and then count after.
3. **Keep a sponsor on the follow-through.** Re-scoped roles drift quietly back to the status quo the moment nobody senior is watching.

The case study, as promised

This file exists because I said that headcount is the last lever you pull, and if you ever do pull it, you should do it with the lights on.

The scoring engine from this review is a working Excel file — the seven questions, the bands, the savings maths, ready for your own org chart.

Reply to the email that brought you this and ask for the toolkit. I'll send it to you myself. One file, no mailing list, no follow-up campaign.

And if your own overheads have been nagging at you lately, we can run a 30-minute cost scan for you. If we can't find a single cost leak, you've lost nothing but the half hour.

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